

Accountancy – Issue of Debentures

Class 12 Quick Revision Notes

1. Meaning of Debenture

A debenture is a written acknowledgement of debt issued by a company. It represents borrowed capital of the company. Debenture holders are creditors of the company and normally receive interest at a fixed rate.

2. Important Terms

Term	Meaning
Face/Par Value	Nominal value written on the debenture, e.g. ₹100.
Issue Price	Amount received by the company when debentures are issued.
Redemption	Repayment of debenture liability according to the terms of issue.
Interest on Debentures	Fixed return payable to debenture holders, usually calculated on face value.
Security	Debentures may be secured by a charge on company assets or may be unsecured.

3. Types of Issue of Debentures

Debentures may be issued:

- **At Par:** Issue price = face value. Example: ₹100 debenture issued for ₹100.
- **At Premium:** Issue price is more than face value. Example: ₹100 debenture issued for ₹105.
- **At Discount:** Issue price is less than face value. Example: ₹100 debenture issued for ₹95.

4. Issue for Cash

When money is received from applicants, Bank A/c is debited and Debentures A/c is credited with the face value. Any premium is credited to Securities Premium A/c.

Situation	Journal Entry
Issued at par	Bank A/c Dr. → To Debentures A/c
Issued at premium	Bank A/c Dr. → To Debentures A/c + To Securities Premium A/c
Issued at discount	Bank A/c Dr. → To Loss on Issue of Debentures A/c + To Debentures A/c

5. Issue of Debentures for Consideration Other Than Cash

Debentures can be issued to vendors/promoters for purchase of assets or a business. The amount payable to the vendor is settled by issuing debentures.

For purchase of asset: Asset A/c Dr. → To Vendor A/c; then Vendor A/c Dr. → To Debentures A/c.

For purchase of business: Record purchase consideration, then settle the vendor's account through issue of debentures.

6. Issue of Debentures as Collateral Security

Debentures may be given as additional security for a loan. In many textbook treatments, no separate journal entry is passed; a note is made in the balance sheet. Alternatively, a memorandum entry may be recorded.

7. Issue of Debentures at Discount and Redemption at Premium

When debentures are issued below face value and are repayable above face value, both the discount on issue and premium on redemption are losses to the company. They are recorded through Loss on Issue of Debentures A/c.

Example: ■100 debenture issued at ■96 and redeemable at ■105 → total loss = ■4 + ■5 = ■9 per debenture.

8. Issue in Instalments

The issue price may be collected in stages, such as application, allotment and calls. At each stage, the amount due is transferred from the relevant Debenture Application/Allotment/Call A/c to Debentures A/c when it becomes due.

9. Interest on Debentures

Interest is a charge against profit. It is payable even if the company has no profit, subject to the terms and applicable law. Interest may be recorded when it becomes due and when it is paid.

Entry when interest becomes due: **Debenture Interest A/c Dr. → To Debentureholders A/c.**

Entry for payment: **Debentureholders A/c Dr. → To Bank A/c.**

At year-end, Debenture Interest A/c is transferred to Statement of Profit and Loss.

10. Issue of Debentures for Consideration Other Than Cash – Key Formula

Purchase Consideration = Assets Taken Over – Liabilities Assumed (subject to the specific terms of the question).

11. Quick Journal Entry Revision

Transaction	Main Entry
Cash received	Bank Dr. → To Debentures / Securities Premium
Issue at discount	Bank Dr.; Loss on Issue Dr. → To Debentures
Purchase of asset	Asset Dr. → To Vendor
Vendor settled by debentures	Vendor Dr. → To Debentures
Interest due	Debenture Interest Dr. → To Debentureholders
Interest paid	Debentureholders Dr. → To Bank

12. Exam Tips

- Always check whether the debentures are issued at par, premium or discount.
- Check separately whether there is a premium on redemption.
- For instalment questions, calculate the amount due at each stage carefully.
- Do not confuse debenture holders (creditors) with shareholders (owners).
- Interest on debentures is a charge against profit.
- Show working notes for discount/premium and purchase consideration wherever required.

Note: These are revision notes. Journal entries and treatment should be matched with the exact requirements of your prescribed textbook/board and the wording of the question.